

What to Do if You Have a Poor Banking History

There are a number of ways you can end up with a poor banking history. Common examples are:

- Cashing bad checks (or bouncing checks)
- Making late payments on a loan or mortgage
- Defaulting on a loan
- Having a bank foreclose on a mortgage
- Accruing overdraft fees (and not paying them off)
- Failing to pay bank fees

When you apply to open a checking account, there's a good chance the bank will run your name through *ChexSystems*. ChexSystems, Inc. reports individuals who “mishandle” checking and savings accounts and is somewhat similar to credit information bureaus.⁵¹ If your name winds up in the ChexSystems database, it can be extremely difficult to open a bank account. A negative ChexSystems report stays in the database for five years and can ruin your chances of opening a checking account during that period.

Tips for Staying Out of the ChexSystems Database:

- Don't write checks or use your debit card without having money in the account to cover them.
- Find out from your bank or credit union how long it takes for deposits to be credited to your account.
- Keep track of your balance and reconcile your checkbook with your bank's statement as soon as you receive it, or go online and check it.
- Before closing a checking account, make sure all checks have cleared, all automatic debits have stopped, and you have paid all fees.

Note: There are a very small number of banks that do not use Chex Systems and they do not advertise it, so they are not easy to find.

⁵¹ Ben Luthi. “What is ChexSystems?” *Experian*. <https://www.experian.com/blogs/ask-experian/what-is-chexsystems/>

Two Options if you Have Developed a Poor Banking History:

Option 1: Try to Remedy the Situation⁵²

- Obtain a copy of your credit report and correct any inaccuracies in your credit file. A low score can sometimes be the result of errors on your report.
- Obtain a copy of your ChexSystems report. Some banks do not check credit history but they will check ChexSystems. If you have a negative history with a bank, try to settle your debt. Sometimes banks will let you reopen a closed account if you pay what you owe.
- Open a savings account. Savings accounts can facilitate many of the same transactions as a checking account, minus the checks and debit cards. Most savings accounts can receive direct deposits and some may offer an ATM card. After maintaining your savings account for a little while – even with a negative credit history – some banks will allow you to open a checking account.
- Open a checking account at a local credit union. Credit unions usually have more relaxed standards than do traditional banks. To open a checking account at a credit union, you may only need to open a savings (or shared) account first.
- Open an account with a bank affiliated with your employer. Direct deposit has become more popular and many workplaces have special arrangements with banks to open accounts. Check with your HR department for more information.
- Open a prepaid Visa/MasterCard account. Prepaid, reloadable cards generally do not require you to open a bank account. They function like a debit card or gift card that you can use anywhere. You will be able to pay bills, accept direct deposits, mail in deposits, and make ATM transactions.

Option 2: Open a “Second-Chance” Checking Account

Some banks and credit unions offer second-chance checking accounts for those whose names are in the ChexSystems database. These accounts can help individuals rebuild their banking histories; however their services are usually fairly limited.

Some limitations of second chance accounts include monthly fees that cannot be waived and requirements such as setting up direct deposit. However, these drawbacks are usually worth it

⁵² Spencer Tierney & Margarette Burnette. “5 Steps to Clear Up Your ChexSystems Record.” *NerdWallet*, May 3, 2019. <https://www.nerdwallet.com/article/banking/banking-basics/steps-to-clear-up-your-chexsystems-record>

when it comes to rebuilding your banking history. When researching second-chance banks and credit unions, look for accounts with low or no monthly fees; no minimum balance requirements; few limits on daily or monthly transactions; and free services such as debit card access, online bill pay, and unlimited check writing. Some national banks that offer second-chance checking accounts include Chime, Wells Fargo, Green Dot Bank, and LendingClub. Credit Unions are also great options, such as Point West Credit Union in Oregon, which has a “Fresh Start Checking” option.⁵³

Checking Accounts

The Different Types of Checking Accounts:⁵⁴

Basic Checking: This is for people who use a checking account to pay certain bills and a debit card to pay daily expenses. Some basic accounts require direct deposit or a minimum balance to avoid monthly "maintenance" fees. You may be limited to a certain number of checks per month. If you exceed that number, you'll pay a "per item" fee for each additional check you write. You don't want to maintain a high balance in these accounts because you won't be paid interest.

Free checking: For most people, this is the best checking account. Free checking accounts mean that regardless of your balance or activity, you will not be charged any monthly service or per-item fees. In other words, you may write all the checks you like, or keep your balance as low as you like, without worrying about paying a fee. Free checking doesn't mean you won't have to pay any fees ever – for example, if you bounce a check, you'll have to pay a nonsufficient funds fee.

Interest-bearing: These accounts usually require a minimum balance to open, and you may need to maintain an even higher balance to avoid fees. For example, a bank may require \$100 to open an account, but will charge \$10 in service fees each month if you don't maintain a \$1,500 balance. Interest usually is paid monthly. However, these accounts pay a very low interest rate so for most people, it's simply not worth maintaining the high required balance.

Joint Checking: An account owned by two or more people (usually people who share a household and expenses). Each co-owner has equal access to the account. Most types of accounts, whether it's basic checking, savings, or money market, allow for joint use. Good

⁵³ Spencer Tierney & Channele Bessette “Second Chance Checking Accounts Across the U.S.” *NerdWallet* Aug. 13, 2020. <https://www.nerdwallet.com/article/banking/second-chance-checking>

⁵⁴ Karren Bennett. “10 Types of Checking Accounts.” *Bankrate* September 14, 2021. <http://www.bankrate.com/finance/checking/types-of-checking-accounts-2.aspx>